

KASHFLIP

Product & Regulatory Roadmap

From crypto exchange UI to an all-in-one financial platform: Hybrid Neobank · Digital Wallet · Custodial Crypto

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Contents

1. Executive Summary

Kashflip today is a polished Flutter application with a modern crypto-exchange interface. This roadmap describes how it becomes something much larger: a hybrid of a neobank, a digital wallet and a custodial crypto platform, launched first in Somalia and East Africa, where a user signs up once and immediately holds three things — a custodial crypto wallet, a domestic mobile-money-connected wallet, and a virtual bank account that will later carry its own IBAN for receiving money from anywhere in the world.

In a nutshell: one app for every payment need — crypto, remittance, wallet-to-wallet transfers, merchant payments and banking.

The strategy chosen is to own our licenses from the start rather than rent them from banking-as-a-service providers. This is slower and more capital-intensive, but it gives Kashflip full control of margins, product and customer relationships — and in the Somali market, where the licensing regime is young and moving quickly, early licensees will enjoy a durable advantage. The roadmap is organized in six phases over roughly 36 months, each phase shipping usable product while the next regulatory step is prepared in parallel.

2. Vision & Positioning

Kashflip is an all-in-one money platform for Somalia, East Africa and its global diaspora. The product rests on three identities that every user receives at signup:

- **Custodial crypto wallet** — BTC, ETH, USDT and other assets held in Kashflip-operated custody, with instant buy, sell and swap.
- **Domestic wallet** — local-currency and USD balances connected to Somali mobile money (EVC Plus, Zaad, Sahal) and regional rails (M-Pesa), used for everyday P2P and merchant payments.
- **Virtual bank account** — a named account with account number, and in a later phase a dedicated IBAN, so any user can receive salary, invoices or remittances from anywhere in the world directly into Kashflip.

Positioning: “the one app where money arrives, lives and moves” — crypto to cash, diaspora to family, customer to merchant, bank to wallet.

3. Market Context (Why Somalia, Why Now)

Somalia is one of the most payment-innovative markets in Africa, and simultaneously one of the least banked — exactly the gap Kashflip fills.

- Remittances of roughly USD 1.7–2 billion a year flow into Somalia, around 20% of GDP; about 40% of households receive them. The corridors from the US, UK, EU and Gulf are Kashflip's first growth engine.
- Mobile money is dominant: over 70% of adults use it, with roughly 650 million transactions worth about USD 8 billion annually. Interoperating with EVC Plus, Zaad and Sahal is table stakes and our distribution shortcut.
- The regulatory window is open: the Central Bank of Somalia (CBS) issued its first mobile money license to Hormuud in March 2025 and has been re-licensing banks and money

transfer businesses through 2025–2026, signalling a formalizing regime that rewards early, compliant applicants.

- **Crypto demand is real and unserved:** Somalia has no dedicated virtual-asset framework yet, while Salaam Bank has already launched USDT services and global exchanges serve Somali users with no local champion. Kenya's Virtual Asset Service Providers Act, 2025 (in force since November 2025) gives the region its first licensing framework, which Kashflip will use for its regulated crypto hub.

4. Product Pillars

Pillar	What the user gets	Primary rails
Crypto	Custodial wallet; buy/sell/swap BTC, ETH, USDT; price charts; later staking	Own custody (MPC/HSM); liquidity via exchange APIs
Domestic wallet	SOS & USD balances; P2P transfers; cash-in/out via mobile money and agents	EVC Plus, Zaad, Sahal, M-Pesa; agent network
Remittance	Diaspora sends from US/UK/EU/Gulf; family receives in wallet in seconds	Licensed MTB corridors; partner PSPs abroad
Merchant	QR pay at shops; merchant portal; payment links & APIs	Domestic wallet rails; settlement accounts
Banking	Named virtual account; statements; future IBAN for global receiving; cards later	Own EMI (EU) + CBS-licensed entity

5. Target Architecture

The existing Flutter app remains the single front end. Behind it we build a service platform designed for regulated money movement from day one:

- **Identity & onboarding service** — signup, tiered KYC (document + biometric), sanctions/PEP screening at registration.
- **Core ledger** — double-entry, multi-currency, multi-asset ledger recording every balance and movement; the single source of truth for wallet, crypto and bank money.
- **Custody service** — MPC-based key management with HSM backup, hot/warm/cold tiering, withdrawal policy engine and address screening.
- **Payments orchestration** — connectors to mobile money APIs, remittance counterparties, card processors and SEPA once the EMI is live.
- **FX & treasury** — SOS/USD/EUR/crypto liquidity management, rate engine and hedging.
- **Compliance engine** — transaction monitoring, AML rules, travel-rule messaging for crypto, case management and regulatory reporting.
- **Security baseline** — SOC 2-aligned controls, annual penetration tests, key ceremonies, segregation of customer funds.

6. Licensing Strategy (Own-License Path)

Kashflip will hold its own licenses. The sequence below reflects what each license unlocks and realistic timelines; costs are indicative and to be confirmed with counsel.

License / Approval	Regulator	Unlocks	Indicative timeline
Money Transfer Business (MTB)	Central Bank of Somalia	Domestic transfers & international remittance corridors	6–12 months
Mobile Money license	Central Bank of Somalia	E-wallet issuance, agent network, merchant payments (Hormuud 2025 precedent)	9–18 months
VASP license (crypto)	Central Bank of Kenya / CMA under VASP Act 2025	Regulated custody, exchange and stablecoin services for the region	Apply when regulations issue; 6–12 months after
EMI license (EU, Lithuania)	Bank of Lithuania	Virtual IBANs, SEPA & SEPA Instant, EU safeguarding, cards — the global receive leg	6–12 months; €350,000 own funds
Banking license (long term)	Central Bank of Somalia	Deposits, credit products, full neobank status	24–36+ months

Two practical notes. First, Somalia has no virtual-asset framework yet, so Kashflip's crypto activities will be legally anchored in the Kenyan VASP regime (and structured carefully for Somali users) until CBS issues guidance. Second, the future IBAN promise is delivered through our own EU Electronic Money Institution: Lithuania offers full EU passporting, IBAN issuance and SEPA access with a statutory three-month decision window on complete applications — in practice six to twelve months.

7. Phased Roadmap (36 Months)

Phase	Months	Product shipped	Regulatory track
0 — Prototype (done)	—	Flutter app UI: home, markets, trade, wallet, deposit/withdraw/swap/buy flows; neon-glass design system	—
1 — Foundation	1–6	Real signup/login, tiered KYC, core ledger, closed-loop domestic wallet (P2P inside Kashflip), admin console	Somali entity & compliance officers; MTB + mobile money applications filed; AML program v1
2 — Crypto live	4–12	Custodial BTC/ETH/USDT wallets, buy/sell/swap, mobile-money on/off-ramp, price alerts	Kenya VASP application when regulations issue; custody policies; first security audit
3 — Remittance	9–18	Diaspora app onboarding (US/UK/EU), send-to-wallet corridors, agent cash-out, USD wallet	MTB corridor approvals; foreign partner PSP agreements; sanctions program scale-up
4 — Merchant	12–24	QR payments, merchant portal & settlement, payment links, public API	Merchant acquiring under mobile-money license;

			consumer protection compliance
5 — Banking & IBAN	18–30	Named virtual accounts, dedicated IBANs, SEPA receive from anywhere, debit cards	Lithuanian EMI authorization, safeguarding accounts, card scheme membership
6 — Scale	24–36	Savings & credit products, FX, Ethiopia/Djibouti/Gulf expansion, treasury services	Somali banking license track; additional country licenses

Phase gates

Each phase has a hard gate: Phase 1 ends when a real user can hold and move wallet money under our AML program; Phase 2 when a user can convert mobile-money cash to USDT and back inside the app; Phase 3 when a diaspora sender can fund a Somali wallet end-to-end; Phase 4 when a merchant settles daily sales; Phase 5 when a user receives a SEPA transfer on their own IBAN; Phase 6 when deposits and credit are live under our own banking authority.

8. Compliance & Risk Framework

- Tiered KYC: basic wallet limits with phone + ID; full limits with biometric verification; enhanced due diligence for high-value and business accounts.
- AML/CFT: real-time sanctions and PEP screening, transaction monitoring rules tuned to remittance typologies, independent audit annually — designed to FATF standards given Somalia's grey-list context.
- Crypto-specific: travel-rule messaging, blockchain analytics screening of deposit addresses, proof-of-reserves reporting for custodied assets.
- Safeguarding: customer fiat held 1:1 in segregated accounts; crypto in tiered custody with quorum-controlled cold storage; no lending of customer assets.
- Security: SOC 2-aligned control set, annual penetration testing, bug bounty, key ceremonies with dual control, disaster recovery drills.

9. Team Plan

Function	Phase 1	By Phase 3	By Phase 5
Engineering (backend, mobile, security)	4	9	14
Compliance & risk (MLRO, analysts)	2	4	7
Licensing / legal (incl. external counsel)	1 + counsel	2 + counsel	3 + counsel
Operations & support	1	4	8
Treasury / finance	1	2	4

10. Indicative Budget Envelope

Order-of-magnitude figures for planning; each requires validation with counsel and regulators.

Item	Range (USD)
Somali licensing (MTB + mobile money: fees, capital, local build-out)	300k – 800k
Kenya VASP licensing & local entity	150k – 400k
EU EMI (€350k own funds + application & local substance)	600k – 1.0M
Engineering & product (36 months)	1.5M – 3.0M
Compliance, audits, security testing	400k – 800k
Liquidity float (remittance + crypto market-making)	500k – 2.0M
Total through Phase 5	≈ 3.5M – 8.0M

11. KPIs & Milestones

- Phase 1: 5k wallet signups in pilot; KYC pass rate > 85%; ledger reconciliation at 100% daily.
- Phase 2: crypto volume USD 1M/month; on/off-ramp success rate > 95%.
- Phase 3: 3 live corridors; USD 2M/month remittance flow; average delivery under 5 minutes.
- Phase 4: 1,000 active merchants; 100k merchant transactions/month.
- Phase 5: 10k IBANs issued in first two quarters; SEPA receive success > 99%.

12. Key Risks & Mitigations

Risk	Mitigation
Licensing delays (CBS or Kenya regulations slip)	Phase products so revenue starts pre-license where lawful (closed-loop wallet, tech services); maintain warm BaaS fallback contracts as insurance
FATF grey-list friction on correspondent banking	Over-invest in compliance early; use EU EMI as clean settlement hub; engage regulators proactively
Custody breach or key loss	MPC + HSM, cold-tier quorum, insurance on hot wallets, annual key ceremonies
Mobile money operators as competitors	Position as interoperable layer and diaspora gateway rather than direct rival; partnership-first integration
Capital shortfall for own-license path	Stage raises against phase gates; EMI capital raised only at Phase 5 start

13. Immediate Next Steps (What We Build Now)

While licensing work starts with counsel, engineering begins Phase 1 immediately on the existing codebase:

- Add real authentication to the Flutter app: signup, login, phone verification and a profile screen.
- Stand up the backend: API gateway, identity service, and the double-entry ledger with SOS/USD test currencies.
- Integrate a KYC vendor sandbox (document + selfie) behind the signup flow.
- Ship the closed-loop wallet: internal P2P transfers between Kashflip test users, with the existing wallet UI wired to real balances.
- Draft regulatory letters of intent to CBS (MTB + mobile money) and engage Kenyan counsel to monitor VASP regulations.

When you say go, implementation starts with the signup and backend foundation — the first concrete step from prototype to platform.

14. References

- Central Bank of Somalia — Mobile Money Regulation (2021 amendment) and MTB Licensing Regulations 2014 (centralbank.gov.so).
- Connecting Africa / Dawan — first Somali mobile money license to Hormuud (March 2025); CBS 2025–2026 re-licensing of banks and MTBs.
- Kenya Virtual Asset Service Providers Act, 2025 — in force 4 November 2025; CBK/CMA licensing pending implementing regulations (centralbank.go.ke, Bowmans, Capital FM).
- Bank of Lithuania — EMI authorization: €350,000 own funds, ~3-month statutory review, IBAN & SEPA access; practical timelines 6–12 months.
- World Bank / Oxfam / The New Humanitarian — Somali remittances USD 1.7–2B annually, ~20% of GDP, ~40% of households; mobile money usage >70% of adults, ~USD 8B/650M transactions per year.
- Dawan Africa / Africa24 — Salaam Bank USDT launch; Somalia digital-asset legislative outlook.